IIFL Finance

Q2FY23 Result Update | BFSI

Further re-rating to continue !!!

DALAL & BROACHA

Equity Research Desk

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IIFL Finance reported strong strong set of numbers; PAT came in at INR 4 bn, up by 36% yoy and 20% qoq led by healthy growth in core income. AUM grew by 25% yoy which was driven by growth across all segments home loans, gold loans, micro-finance loans & business loans. Calculated margins rose to 9.3% vs. 8.6% in Q1 led by stable cost of funds and higher repricing benefits seen on the assets side. Total assignments + co-lending for Q2 was at INR 201 bn vs. INR 204 bn in Q1. While incremental disbursements were higher at INR 120 bn vs. INR 115 bn qoq. Asset quality performance was good across segments. Gross NPAs stood at 2.4% and net Net NPAs at 1.2%. We continue our BUY rating on the stock with TP of INR 483, upside of 21% from the current levels. We expect re-rating on the stock to continue.

- **AUMs witnessed healthy growth of 25% yoy and 5% qoq to INR 553 BN. Loan growth was strong across segments - home loan grew by 25% yoy, gold loans 31% yoy, business loans 14% yoy and micro-finance loan 49% yoy. Assigned assets + co-lending book was up by 76% yoy to INR 201.4 BN. Income from these assigned assets increased at strong rate of 58% yoy to INR 4.2 bn.**
- NII was up by 25% yoy and 14% qoq to INR 7.4 bn
- Calculated margins of the company improved considerably for the quarter from 8.6% to 9.3% due to increase in the book yields and stable cost of funds. It had $ 400 mn worth of high cost bonds, of this, nearly $ 100 mn got repriced in Q2 at lower rates; wherein the company had the benefit of ~INR 180 mn or 2% interest rate benefit in repricing.

Financial Summary

Y/E Mar (Rs.mn)	FY21	FY22	FY23E	FY24E	FY25E
NII	27,954	32,039	37,049	45,460	55,377
PAT	7,608	11,883	15,470	20,901	27,590
ABV	134	155	188	237	302
EPS	20	31	41	55	73
P/ABV (x)	3.0	2.6	2.1	1.7	1.3
P/E (x)	19.9	12.8	9.8	7.3	5.5
ROA (%)	2.0	2.7	3.1	3.5	3.7
ROE (%)	15.0	20.0	21.6	23.7	24.9

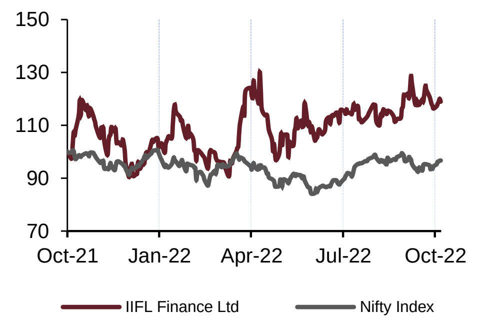
Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	483	21

Market data

Current price	Rs	400
Market Cap (Rs.Bn)	(Rs Bn)	146
Market Cap (US$ Mn)	(US$ Mn)	1,774
Face Value	Rs	2
52 Weeks High/Low	Rs	399 / 266
Average Daily Volume	('000)	390
BSE Code		5,32,636
Bloomberg		IIFL.IN

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	24.9	24.9
Public	75.1	75.1
Total	100.0	100.0

Source: Bloomberg

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- Asset quality performance was good across segments – home loans GNPLs came down from 2.6% to 2.4% qoq, business loans from 6% to 4.3%, gold loans from 0.9% to 0.8%, micro-finance loans from 3.9% to 3.5% for the same period. Stage 3 assets were at INR 8.5 bn vs. INR 8.9 bn in last quarter. Total PCR as per ECL norms stood at 147%
- Operating expenses surged by 42% yoy and 6.5% qoq to INR 5.5 bn; cost/income ratio was high at 43% levels given it is in the investment phase. It added 171 branches during the quarter taking total count to 3766 branches.

Valuations -

The company posted strong set of numbers. Going forward, we expect PAT to grow at 32% CAGR during FY22-25e led by higher asset growth of 24%, better margin profile and stable asset quality mix. It is trading at very undemanding valuations of 2.1x/1.7x/1.3x on FY23e/FY24e/FY25e ABV. While it peers are trading at much higher valuation multiples. What we more like about the business model of the company is – it is diversified and present in all high growth segments which are more retail driven assets. **We continue our BUY rating on the stock with TP of INR 483,** according target multiple of 1.6x on FY25e ABV, upside of ~21% from current levels. We expect re-rating to continue going forward as well.

Concall Highlights

- Calculated margins of the company improved considerably for the quarter from 8.6% to 9.3% qoq due to increase in the book yields and stable cost of funds. In H1FY23, the NBFC had increased the lending rates in home loans by 75-100 bps and in micro-finance book by 100-200 bps – large part of benefit of repricing is seen in this quarter. While on the liability side, it had $ 400 mn worth of high cost bonds, of this, nearly $ 100 mn got repriced in Q2 at lower rates; wherein the company had the benefit of ~INR 180 mn or 2% interest rate benefit in repricing. However, going forward, management said that current margins at high rates will not be sustained as borrowing cost will catch up. While our estimates are conservative, we have build in 8%/8.2% margins for FY23e/FY24e vs. 7.9% reported in FY22. In our view, dollar bonds worth $ 270 mn that are likely to come up for repricing in FY24e would have positive rub-off effect on the margins in future as well

- Reported ROA for the H1FY23 was at 3.5% vs. 2.7% seen in FY22, improvement of ~80 bps. Management opined that current run-rate in ROAs can be sustained in coming quarters as well given decent AUM growth, better margins and stable asset quality outlook
- Cost/Income ratio for the last 2 quarters is on the higher end at 43.1% levels given it is in the investment mode; investing in branches, people and technology. However, management alluded that pace of branch expansion will moderate as it would like to see break-even current existing branches (which is in-line with our estimates of branch expansion). In Q2, it added 171 branches taking total count to 3766. Branches have nearly doubled in last 5 years time from 1947 in March 2019 to 3766 as on H1FY23. We expect the company to add ~700 branches over next 2.5 years of time taking total count to ~4500 by FY25e end.
- Credit cost for the full year is expected to be at 150-200 bps vs. our estimate of 200 bps for FY23e.

Quarterly Financials

(Rs.mn) (Consol)	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23
Interest Earned	14,357	15,160	16,018	16,414	16,771	17,773
Interest Expended	7,009	7,441	7,728	7,732	7,760	7,758
NII	**7,348**	**7,719**	**8,291**	**8,682**	**9,011**	**10,014**
growth y-o-y (%)	*32.2*	*8.9*	*11.7*	*11.5*	*22.6*	*29.7*
Other Income	960	1,974	2,417	2,763	2,981	2,742
Total Income	**8,308**	**9,692**	**10,708**	**11,444**	**11,992**	**12,756**
growth y-o-y (%)	*38.0*	*10.8*	*16.5*	*18.2*	*44.3*	*31.6*
Operating expenses	3,153	3,875	4,206	4,685	5,166	5,502
growth y-o-y (%)	*14.5*	*32.0*	*38.5*	*47.5*	*63.9*	*42.0*
PPoP	**5,155**	**5,817**	**6,502**	**6,760**	**6,826**	**7,255**
growth y-o-y (%)	*57.8*	*0.2*	*5.7*	*3.8*	*32.4*	*24.7*
Provisions & Contingencies	1,650	2,102	2,559	2,564	2,487	1,960
Profit Before Tax	**3,505**	**3,715**	**3,943**	**4,196**	**4,339**	**5,295**
growth y-o-y (%)	*511.6*	*33.3*	*13.2*	*30.7*	*23.8*	*42.5*
Tax	847	800	844	987	1,042	1,324
Net Profit	**2,658**	**2,916**	**3,099**	**3,210**	**3,297**	**3,971**
Net profit (y-o-y %)	*735.1*	*37.1*	*15.4*	*29.3*	*24.0*	*36.2*
Net profit (q-o-q %)	*7.1*	*9.7*	*6.3*	*3.6*	*2.7*	*20.4*

Other Details	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q1FY23
AUMs (Rs.mn)	**4,31,610**	**4,42,490**	**4,67,810**	**5,12,100**	**5,27,620**	**5,53,030**
Loan Book - On Book	*2,85,990*	*2,88,740*	*3,03,800*	*3,16,700*	*3,23,860*	*3,51,620*
Loan Book - Off Book	*1,45,620*	*1,53,750*	*1,64,010*	*1,95,400*	*2,03,760*	*2,01,410*
GOLD	1,32,620	1,36,000	1,46,060	1,62,280	1,71,300	1,78,320
HOME LOANS	1,47,470	1,56,980	1,64,950	1,77,270	1,86,180	1,96,810
BUSINESS LOANS	71,140	70,190	70,140	75,590	76,430	79,850
MICROFINANCE	43,860	45,340	51,780	61,550	62,760	67,240
CONSTRUCTION AND REAL ESTAT	28,080	27,220	27,830	28,990	24,870	25,930
Capital market finance	8,420	6,760	7,040	6,420	6,070	4,880
Y-o-Y growth (%)						
AUMs	***12.6***	***8.3***	***10.7***	***14.6***	***22.2***	***25.0***
Loan Book - On Book	***8.3***	***2.0***	***9.7***	***6.3***	***13.2***	***21.8***
Loan Book - Off Book	***22.1***	***22.7***	***12.6***	***31.1***	***39.9***	***31.0***
GOLD	*39.7*	*19.4*	*19.6*	*23.4*	*29.2*	*31.1*
HOME LOANS	*16.9*	*21.8*	*22.7*	*22.8*	*26.2*	*25.4*
BUSINESS LOANS	*-9.5*	*-11.1*	*-9.9*	*1.3*	*7.4*	*13.8*
MICROFINANCE	*36.1*	*31.0*	*32.1*	*29.9*	*43.1*	*48.3*
CONSTRUCTION AND REAL ESTATI	*-39.3*	*-39.3*	*-35.6*	*-31.5*	*-11.4*	*-4.7*
Capital market finance	*63.5*	*-6.6*	*21.4*	*-3.2*	*-27.9*	*-27.8*

Disbursements (Rs.mn)	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q1FY23
GOLD	37,180	51,150	64,620	79,970	71,350	68,110
HOME LOANS	9,870	15,960	15,910	21,320	18,140	19,510
BUSINESS LOANS	3,580	5,260	9,700	13,850	12,180	13,950
MICROFINANCE	2,360	10,730	16,280	25,160	13,740	18,340
Total disbursements	**52,990**	**83,100**	**1,06,510**	**1,40,300**	**1,15,410**	**1,19,910**

Ratios	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q1FY23
ROA (%) (reported)	2.6	2.8	2.9	2.9	2.9	3.4
ROE (%) (reported)	19.7	20.5	20.7	21.1	20.5	20.4
Cost/Income ratio	37.9	40.0	39.3	40.9	43.1	43.1
Advances yields (%) (calc)	17.3	18.5	19.4	19.6	19.8	20.6
Cost of funds (%) (calc)	8.7	9.1	9.2	8.9	8.8	8.8
Margins (%) (calc)	7.7	8.0	8.3	8.3	8.6	9.3
GNPAs (%) (reported)	2.2	2.3	2.8	3.2	2.6	2.4
Net NPAs (%) (reported)	1.0	1.1	1.5	1.8	1.5	1.2

Financial

Profit & Loss Statement

Consol (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
Interest Income	54,212	61,949	73,321	90,185	1,11,147
Interest expense	26,258	29,910	36,272	44,724	55,771
Net Interest Income	**27,954**	**32,039**	**37,049**	**45,460**	**55,377**
Growth (%)	*26*	*15*	*16*	*23*	*22*
Other Income	5,685	8,114	10,232	12,511	15,296
Growth (%)	*182*	*43*	*26*	*22*	*22*
Net Income	**33,639**	**40,153**	**47,282**	**57,972**	**70,672**
Employee benefits expense	7,231	9,307	10,563	11,297	11,468
Other expenses	4,674	6,611	8,517	10,571	13,124
Total expenses	**11,904**	**15,918**	**19,080**	**21,868**	**24,591**
Growth (%)	*-7*	*34*	*20*	*15*	*12*
PPOP	**21,734**	**24,235**	**28,202**	**36,104**	**46,081**
Growth (%)	*89*	*12*	*16*	*28*	*28*
Provisions	11,686	8,875	7,519	8,161	9,197
PBT	**10,048**	**15,360**	**20,682**	**27,943**	**36,885**
Exceptional Items	-	-	-	-	-
Tax	2,440	3,477	5,212	7,042	9,295
Tax Rate					
PAT	**7,608**	**11,883**	**15,470**	**20,901**	**27,590**
Growth (%)	*51*	*56*	*30*	*35*	*32*

Balance Sheet

Consol (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
CAPITAL & LIABILITIES					
Capital	758	759	759	759	759
Reserves & Surplus	53,177	63,938	77,890	97,083	1,22,775
Networth	**53,934**	**64,697**	**78,649**	**97,842**	**1,23,534**
Borrowings	3,25,831	3,60,858	4,19,175	5,12,583	6,25,598
Other financial liabilities	26,904	33,546	43,151	53,083	71,048
Total Liabilities	**4,06,669**	**4,59,102**	**5,40,976**	**6,63,508**	**8,20,180**
ASSETS					
Cash & Balances	47,841	81,569	64,666	70,911	96,068
Investments	820	12,664	16,746	17,364	18,050
Advances	3,35,332	3,36,929	4,14,984	5,17,709	6,31,854
Fixed Assets	1,043	1,505	1,806	2,168	2,601
Receivables	1,928	1,990	1,990	1,990	1,990
Other Assets	19,707	24,444	40,784	53,367	69,617
Total Assets	**4,06,669**	**4,59,102**	**5,40,976**	**6,63,508**	**8,20,180**

Source: Dalal & Broacha Research, Company

Ratios

Growth (%)	FY21	FY22	FY23e	FY24e	FY25e
NII growth (%)	26	15	16	23	22
PPOP growth (%)	89	12	16	28	28
PAT growth (%)	51	56	30	35	32
Loans & Advances growth (%)	18	0	23	25	22
AUMs (Rs.mn)	446880	512100	638436	796475	972083
AUM growth (%)	17.8	14.6	24.7	24.8	22.0

Spreads & margins (%)	FY21	FY22	FY23e	FY24e	FY25e
Yield on funds	15.2	15.2	15.8	16.4	16.4
Cost of funds	8.7	8.7	9.3	9.6	9.8
Spreads	6.6	6.5	6.5	6.8	6.6
Margins	7.9	7.9	8.0	8.2	8.2

Asset quality profile (%)	FY21	FY22	FY23e	FY24e	FY25e
Gross NPAs (Rs.mn)	8356	11472	14269	17078	20431
Net NPAs (Rs.mn)	3268	5884	7144	7994	8849
Gross NPAs (%) as a % of O/S loa	2.5	3.4	3.4	3.3	3.2
Net NPAs (%)	1.0	1.7	1.7	1.5	1.4
PCR (%)	60.9	48.7	49.9	53.2	56.7
Slippages (%)	1.9	2.4	2.5	2.3	2.3
Credit Cost (%)	3.8	2.6	2.0	1.8	1.6

Return Ratios (%)	FY21	FY22	FY23e	FY24e	FY25e
ROA (%)	2.0	2.7	3.1	3.5	3.7
ROE (%)	15.0	20.0	21.6	23.7	24.9

Per Share Data (Rs)	FY21	FY22	FY23e	FY24e	FY25e
No. of shares	379	380	380	380	380
EPS	20.1	31.3	40.8	55.1	72.7
BV	142.4	170.4	207.2	257.8	325.4
ABV	133.7	154.9	188.4	236.7	302.1

Valuations (%)	FY21	FY22	FY23e	FY24e	FY25e
P/E	19.9	12.8	9.8	7.3	5.5
P/BV	2.8	2.3	1.9	1.6	1.2
P/ABV	3.0	2.6	2.1	1.7	1.3

Source: Dalal & Broacha Research, Company

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